

8 Mental Models: Effective Thinking

@BowTiedBarbary

Inspired by @BowTiedBull @BowTiedOx @BowTiedMonk

What are Mental Models?

Mental Models are systems of thinking, *tools*, used to understand and relate new information in different contexts. These *tools* apply to nearly all domains and subjects as they are time-tested. Mental models are applied thinking, *mental carpentry*, and condition you to forge your own set of rules based on patterns in systems.

Find the common principles across domains. Use a core idea from one subject to solve another.

Further Reading

Poor Charlie's Almanack

Mental Models: 30 thinking tools that separate average from exceptional

Range: Why Generalists Triumph in a Specialized World

Nissam Taleb's *Incerto Series*

Content Overview

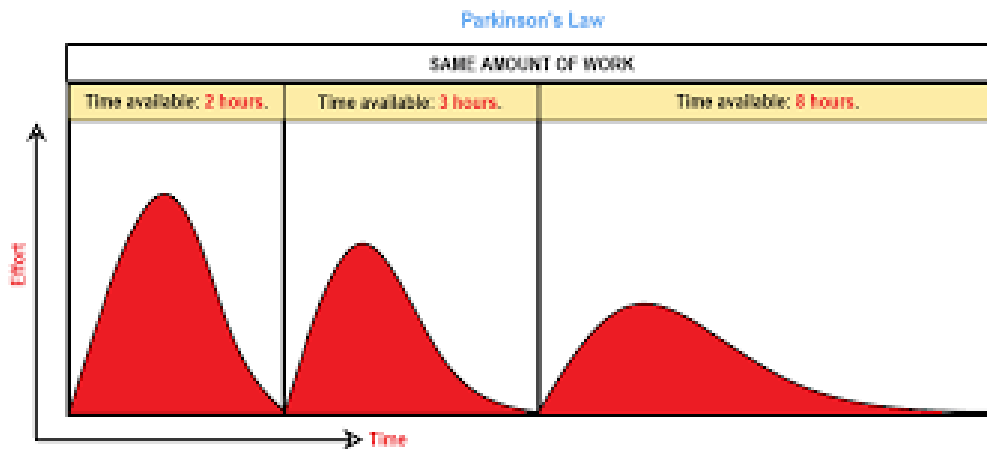
1. Parkinson's Law
2. Sturgeon's Law
3. Eisenhower Matrix
4. Second-Order Thinking
5. Pareto Principle
6. Regret Minimization
7. Avoid Path of Least Resistance
8. Dunning-Kruger Effect



1. Parkinson's Law

Works expands to fill the time allotted to complete it

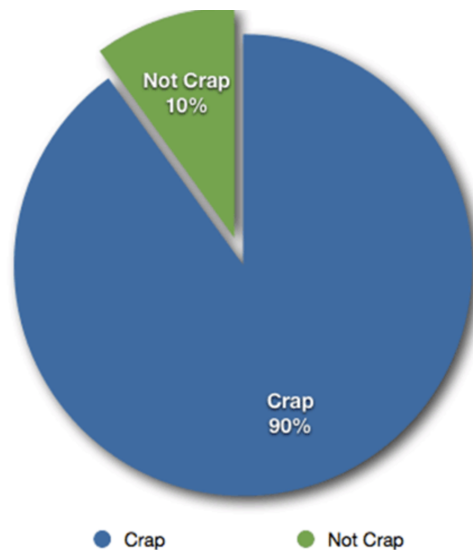
- a) (5th Grade Explanation) "If you have 10 days to finish homework you take 10 days vs 5 days to finish you then spend 5 days. The grade will not be much better if at all."
- b) (Applications) Productivity, Teamwork, Management, Politics, Business



2. Sturgeon's Law

90% of everything is crap

- a) "Your thoughts, words, activities are usually useless (noise) burying your good decisions and ideas."
- b) Research, Conversations, Creativity



3. Eisenhower Matrix

Prioritize action by distinguishing between Urgent and Important activities

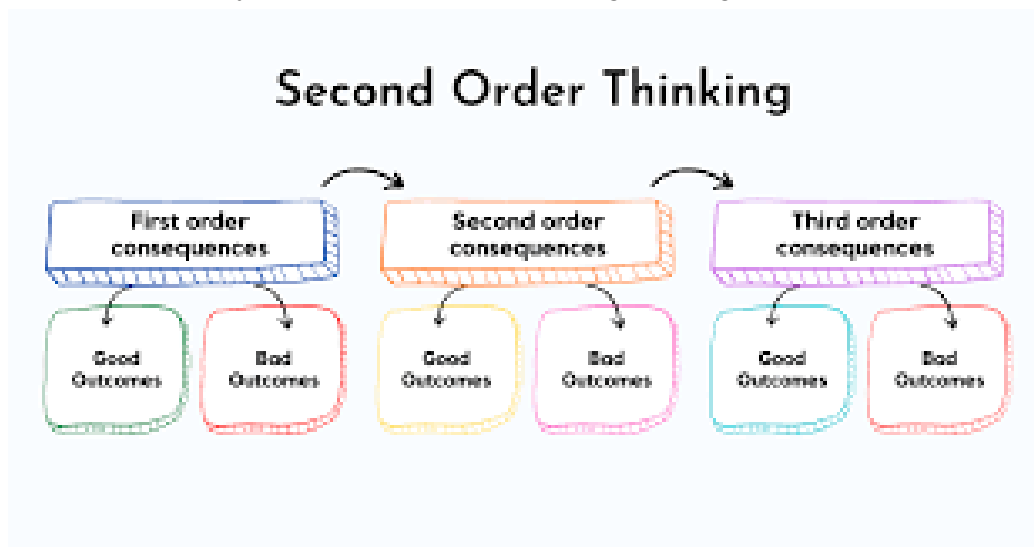
- a) "Tackle your most important tasks by order of due date."
- b) Time Management



4. Second-Order Thinking

Visualize contingent scenarios resulting from initial decisions you might make. Analyze cause and effect chain reaction of scenarios

- a) "Hitting your classmate may get you sent to the office, which may get you detention, which may take your recess, which will prevent you from playing dodgeball."
- b) Fundamental Analysis, Business, War, Investing, Trolling



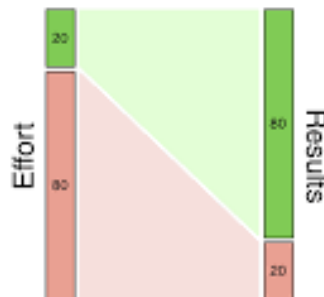
5. Pareto Principle: 80/20 Rule

Roughly 80% of output comes from 20% of input in an unbounded domain and 20% of that 20% produce 80% of 80% of output and so on

- a) "80% of girl scout cookies will be sold by only 20% of the girl scouts."
- b) Wealth, Relationships, Sales, Popularity, Marketing, Media

The 80-20 Rule

"For many events, roughly 80% of the effects come from 20% of the causes." - Pareto



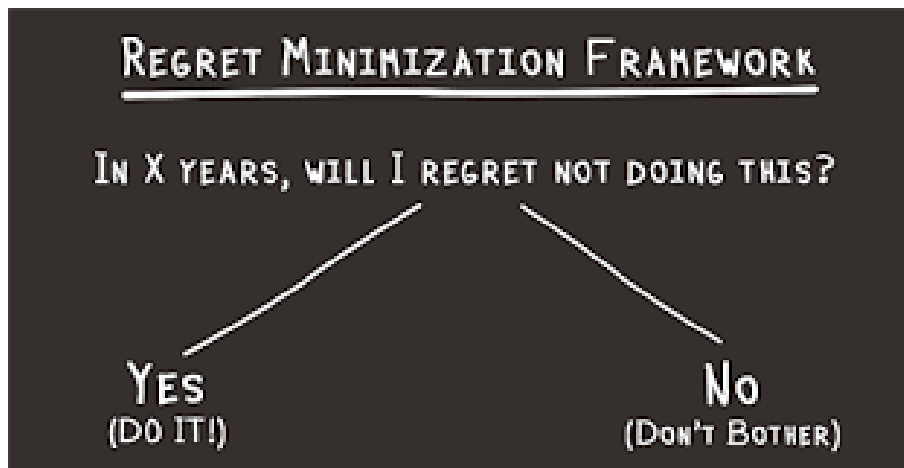
Therefore 20% of the effort produces 80% of the results but the last 20% of the results consumes 80% of the effort.

www.EndlesslyCurious.com

6. Regret Minimization

Eliminate the evaluation of "regret" in your decision-making process by projecting yourself to old age

- a) "On your deathbed, if you would regret doing something then do NOT do it in the first place. If the reverse is true, do the opposite."
- b) Long-term planning of expensive or time-consuming decisions



7. Avoid the Path of Least Resistance

If something is too easy or simple then you are missing out on valuable opportunities because humans are lazy and subconsciously pursue the path of least resistance

- a) "There is an easy way and the right way. Choose."
- b) Fitness, Business, Relationships, Ethics, Self Development

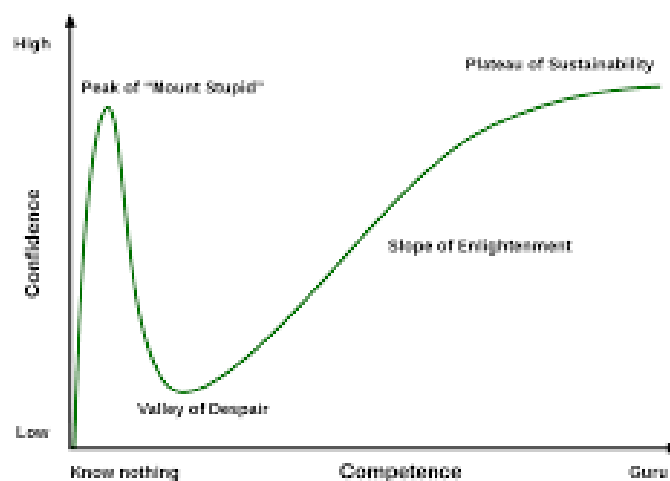


8. Dunning-Kruger Effect

The least competent in a subject grossly overestimate their ability while the competent tend to underestimate their ability and question how much they understand themselves.

- a) "The smart kids are usually humble enough to realize how much they have yet to learn while the dumb ones are too confident."
- b) Programming, Aviation, Martial Arts, Fitness, Poker, Investing, Golf

Dunning-Kruger Effect



Appendix A

Additional Mental Models

Hanlon's Razor
Parkinson's Law of Triviality
Brifault's Law
Occam's Razor
40-70 Rule
Reversible Decisions
Murphy's Law
First Principles
Circle of Competence
Correlation v Causation
Mean Regression
Schelling Points
Black Swans
Negativa (Inversion)
Asymmetry
Law of Diminishing Returns
Bayes' Theorem
Fundamental Attribution Error

Appendix B

Sources

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Warm Regards,

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